

ICELAND 2010

1. Overview of the system

Iceland has an insurance-based unemployment benefit system. Two kinds of housing benefit programmes are in existence. One, there is a rent benefit for tenants with low income and two, mortgage interest benefits are open to home owners. Means-tested family benefits are available to parents. The social security administration provides benefits for lone parents providing for two children or more. Financial assistance is available from local governments for those without other resources and that do not qualify for benefits from the central government and/or the social security system.

1.1. Average worker wage (AW)

The 2010 AW level is ISK 5 256 000.

2. Unemployment insurance

2.1 Conditions for receipt

In order to qualify for unemployment benefits, one has to be between 16 and 70 years of age, willing and available to work and be able to confirm the unemployed status by means of a letter from the labour exchange. He must have been registered unemployed for at least three days, but receives benefits from the first day.

2.1.1 Employment conditions

An employee must have worked for at least 3 months to qualify for any benefits. In order to qualify for full benefits, he must have worked for the last 12 months. Part-timers qualify for proportionally reduced benefits.

2.1.2 Contribution conditions

Coincide with the employment conditions.

2.2 Calculation of benefit amount

2.2.1 Calculation of gross benefit

Benefits are paid in proportion to the number of hours worked in insured employment in the previous 12 months:

- The full benefit amount is ISK 6 900 per day (5 days per week).
- The minimum benefit amount is ISK 1 725 per (25 per cent of full benefits).
- Parents receive a family supplement of ISK 276 per day (4 per cent of full benefits) per dependent child below 18 years of age.
- Since 2006, benefits are linked to previous employment income to an extent. After having received the general benefit amount for ten days the recipient is entitled to 70% of his employment income (average income in the six month period ending two months prior to unemployment), subject to a maximum of ISK 242 636 monthly, and for 65 days only. After that he will continue to receive the general benefits only, for the remainder of his entitlement period.

2.2.2 *Income and earnings disregards*

If a recipient has occasional employment for one or two days at a time, benefit is reduced in proportion to the number of hours worked.

2.3 *Tax treatment of benefit*

Benefits are subject to general income tax.

2.4 *Benefit duration*

Benefits are paid for a maximum of three consecutive years. Previously the maximum had been five years.

2.5 *Treatment of particular groups*

2.5.1 *Young persons*

A job-seeker who has earned a minimum benefit entitlement and has also completed a period of study of no less than six months will be granted an assessment of these studies equivalent to 13 weeks of work. Part-time study does not provide increased entitlement.

2.5.2 *Older workers*

None.

3. Unemployment assistance

The central government, through its Labour Directorate, offers retraining courses and advice for unemployed persons. This is carried out in cooperation with local governments and various service organisations and is fully paid for out of central government funds.

4. Social assistance

A need-based subsistence benefit is paid as a last resort by local governments.

4.1 Conditions for receipt

To qualify, persons must be fully or partially unqualified for benefits from the central government or the Social Security Institute.

4.2 Calculation of benefit amount

4.2.1 Calculation of gross benefit

Financial assistance is the difference between the needs (the applicable amount) and the claiming household's resources. The applicable amount for the capital, Reykjavik, is shown below. Note that rates differ regionally.

Size of household	Applicable amount: recommended minimum monthly rate (in ISK)
Single persons	125 540
Couples	200 864

There are no allowances for dependent children. The resources include all gross family income. Excluded is income of children and all benefits paid in respect of children such as child support and family benefits, as well as mortgage interest rebates and rent benefits. The exemption is the lone parent benefit, which is included as family income in the same way as labour income, unemployment benefits, capital income, etc. Unemployed youth aged 18-24 living with low-income parents are entitled to up to half assistance. In addition there are grants/loans available to beneficiaries of assistance to meet various expenses, such as funeral costs, dental bills, etc.

4.2.2 Income and earnings disregards

There are no disregards; there is a one-to-one means test including all gross family income.

4.3 Tax treatment of benefit

Subject to general income tax.

4.4 Benefit duration

Unlimited.

4.5 Treatment of particular groups

None.

5. Housing benefits

There are two schemes for housing benefits, one for tenants and one for home owners. A) Rent benefits are available to households renting accommodations as long as no household member owns any other real estate. The central government finances the rent benefits partially but local authorities administer the benefits. B). Home owners can receive interest rebates to offset their mortgage payments. The cost of mortgage interest rebate is borne by central government.

5.1 Conditions for receipt

Rent benefits are available to tenants with a certified rental agreement of at least 6 months' duration. The rented accommodation must be a self-contained unit, such that e.g. rooms in dormitories on campuses are excluded. Rent benefits are means-tested. Rent benefits are targeted on low-income tenants and are therefore subject to an income test.

Mortgage interest rebate is open to all home owners with mortgage payments but is subject to limits on net assets, total mortgage liabilities and a maximum interest payment amount.

5.2 Calculation of benefit amount

5.2.1 Calculation of gross benefit

Rent benefit. The rent benefit is a fixed amount per claiming household of ISK 13 500 per month, with additional ISK 14 000 per month for one dependent child, plus ISK 8 500 per month for a second child, plus ISK 5 500 per month for the third and additional children. The children must have a legal residence in the rental home. In addition, 15 per cent of the rent above ISK 20 000 and below ISK 50 000 is added to the above amounts. One per cent of the household's previous year's taxable income in excess of ISK 2 000 000 of all non-studying household members 20 years or older is deducted per month of payment of rent benefit. 25 per cent of the household's net wealth exceeding ISK 5 918 453 is counted as income in this respect. The final rent benefit can never be higher than ISK 46 000 per month or half of paid rent, whichever is lower.

Mortgage interest rebate. This programme is in effect a part of the tax system. The rebate is based on interest paid on a home purchase loan. The following constraints apply to interest rebates paid in 2011, based on tax returns for 2010: (1) They can not exceed 7 per cent of the remaining debt balance incurred in buying a home for one's own use. (2) The maximum amount of interest payments that qualify for an interest rebate calculation is ISK 0.8 million for an individual, ISK 1.0 million for a lone parent and ISK 1.2 million for a couple. (3) 8 per cent of taxable income is subtracted from the interest expense. (4) The rebates begin to be curtailed at a net worth threshold of ISK 4 million for a single individual and lone parent and at ISK 6.5 million for a couple and are eliminated altogether at a 60 per cent higher amount. (5) The maximum amounts of interest rebates are ISK 0.4 million for an individual, ISK 0.5 million for a lone parent and ISK 0.6 million for a couple.

5.2.2 Income and earnings disregards

Full rent benefits are paid to families with combined annual income of up to ISK 2 million. 1 per cent of income in excess of this threshold would be deducted from benefits on a monthly basis.

5.3 Tax treatment of benefit

Rent benefit. Not taxed.

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Mortgage interest rebate. Not taxed. Administered and paid through tax authorities.

5.4 *Treatment of particular groups*

5.4.1 *Young persons*

None.

5.4.2 *Older workers*

None.

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6. Family benefits

Means-tested benefit for dependent children.

6.1 Conditions for receipt

To have a dependent child under 18 years of age.

6.2 Calculation of benefit amount

6.2.1 Calculation of gross benefit

The benefit amount per child and income limits depend on the household type.

Amounts paid in the stated year, based on income in the previous year (ISK)

	2007	2008	2009	2010	2011
General benefit for children under the age of eighteen					
First child	139.647	139.647	139.648	139.648	139.648
Each additional child	166.226	166.226	166.226	166.226	166.226
Additional benefit for children under the age of seven					
For each child < 7 years	56.096	56.096	56.096	56.096	56.096
Benefits for single parents					
First child	232.591	232.591	232.591	232.591	232.591
Each additional child	238.592	238.592	238.592	238.592	238.592
Income threshold for benefit curtailment					
For couples	2.231.195	2.880.000	3.600.000	3.600.000	3.600.000
For single parent	1.115.598	1.440.000	1.800.000	1.800.000	1.800.000
Curtailment of benefits					
For one child	2%	2%	2%	2%	3%
For two children	6%	5%	5%	5%	5%
For three children or more	8%	7%	7%	7%	7%
Additional benefit for children < 7 years, pr. child	.	.	.	.	3%

Note that child benefits paid in 2011 are based on information from 2010 tax returns.

6.2.2 Income and earnings disregards

The general benefit based on 2010 income for parents with one child is reduced by 3 per cent of income above the income limit, by 5 per cent for parents with 2 children and by 7 per cent for parents with 3 or more children. The additional benefit for children under 7 years of age is reduced by 3% for each child, of income above the limit.

6.3 Tax treatment of benefit

Not taxable.

6.4 Treatment of particular groups

See below for treatment of lone parents.

7. Childcare for pre-school children

Pre-schools are available to all children who have not reached the age at which compulsory school begins, i.e. in autumn of the year in which the child turns six. However, very few pre-schools accept children less than one year old, and the youngest children are usually about two years of age. Before that they may be cared for by daymothers.

7.1 Out-of-pocket childcare fees paid by parents

Local municipalities pay for the construction and the operation of pre-primary schools. Parents contribute a substantial amount towards operating costs at the pre-primary level. The share that the parents contribute varies from one municipality to another and often depends on the circumstances of the parents like in some municipalities lone parents and students pay substantially lower fees than others and some offer reduction to parents who have two or more children attending schools at the pre-primary level. On the whole, parents contribute about a third of the operating costs of pre-primary schools.

The tariff of Reykjavík pre-schools depends on the number of hours and on the economic status of the parents. The tariff is divided into three categories:

I. General tariff, married parents and parents who live together.

II. One parent is a student. The Icelandic Government Student Loan Fund has issued some guideline rules as to which studies are considered valid, like the student should take at least 75 per cent of full time University hours and 100 per cent in cases where the student is specializing in a certain field. Students at the University of Iceland should take at least 11 credit hours each semester. This category is also for fulltime students in junior college and vocational schools. Evening classes are not valid.

III. Lone parents. Both parents being students according to the definition of the Icelandic Government Student Loan Fund. One or both parents being at least 75 per cent invalids. Employees of Reykjavik Preschools.

The tariff of Reykjavík preschools

monthly tariff, ISK

valid from August 1, 2009 until December 31, 2010

Hours	Category I	Category II	Category III
4	8 467	6 539	4 243
5	13 992	11 582	8 712
6	15 796	12 904	9 460
7	18 851	15 477	11 459
8	20 655	16 799	12 207
9	22 459	18 121	12 955

Meals are included in this data. Parents with more than one child only pay tuition for one child but for meals for every child (ISK 6 223 monthly for >6 hours care per day.) This discount rule applies equally for children in a preschool who have siblings in a family day-care or in a private preschool, see the tariff for

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subsidy of day-care fees. For five-year old children the rates are lower, in the range 17.3% to 63.9% of the rates shown in the table.

7.2 Child-care benefits

Some municipalities subsidise child-care with day-care parents

7.2.1 Conditions for receipt

Generally, the conditions for receiving such a subsidy is that the parent or parents are unable to place their children in pre-schools or day-care centres but must place them with day-care parents.

7.2.2 Calculation of benefit amount

The following subsidy applies in Reykjavík. Subsidies vary from one municipality to another. Valid from January 1 2009 until December 31 2010.

Hours of care	Both parents living together	One parent a student	Lone parent, invalid parent or both parents studying	Sibling supplement
4	18 500	18 756	25 340	4 880
5	23 125	23 445	31 675	6 100
6	27 750	28 134	38 010	7 320
7	32 375	32 823	44 345	8 540
8	37 000	37 512	50 680	9 760
9	41 625	42 201	57 015	10 980

7.2.2.1 Calculation of gross benefit

See above.

7.2.2.2 Income and earnings disregards

None.

7.2.3 *Tax treatment of benefit and interaction with other benefits*

Subsidy is not subject to income tax nor does it interact with other benefits.

7.2.4 *Treatment of particular groups*

8. **Employment-conditional benefits**

None.

9. **Lone-parent benefits**

Lone parents with two or more children are entitled to additional benefits from the Social Security Administration, the so-called mother/fatherhood allowance.

9.1 ***Conditions for receipt***

To be living alone with at least two children under 18 years of age.

9.2 ***Calculation of benefit amount***

9.2.1 *Calculation of gross benefit*

Lone parent benefits	Yearly amounts
2 children	75 228
3 children	195 600

9.2.2 *Income and earnings disregards*

The benefit is not income tested.

9.3 ***Tax treatment of benefit***

Subject to general income tax.

9.4 ***Treatment of particular groups***

A support benefit is paid to parents with children that are disabled or suffering from a long-term illness and in need of continuous stay-at-home care. The benefit amounts to ISK 117 176 monthly in 2010.

10. Tax system

Iceland has a dual income tax system. Personal income tax for central and local government is collected together on a withheld basis. Capital income tax is paid to central government, partly on a withheld basis.

10.1 Income tax

In 2010, the personal income tax was reformed into a triple-rate system for the first time since the adoption of the withheld tax system (PAYE) in 1988.

10.1.1 Tax allowances and credits

- *Relief(s) for compulsory pension contributions:* Since January 2000, the compulsory payment by employees to pension funds, amounting to 4 per cent of wages, is deductible. In addition, an optional payment of up to 4 per cent of wages may also be deducted. During March 2009 – October 2010, the additional 4 per cent is raised to 6 per cent. As the additional contribution is optional, it is considered to be a non-standard relief.
- *Work-related expenses:* earnings-related transportation costs (net of fringe benefits) are deductible up to a certain limit.
- There is a basic tax credit of ISK 530 466 per earner annually or ISK 44 205 monthly. The credit is subtracted from central and local government taxes; unused portions are not refundable. Seamen get an additional tax credit, calculated per diem for number of days at sea. The per diem amount in 2010 is 987 ISK and is credited against the central government tax.
- *Standard marital status relief:* Married couples may utilise up to 100 per cent of each spouse's unutilised portion of his/her basic tax credit.

10.1.2 The definition of taxable income

Category A comprises wages and salaries, including presumptive employment income of the self-employed (see below), employment-related benefits, old-age pensions, social security payments, grants, payments to copyright holders, royalties, etc. *Category B* comprises income from a business and income from an independent economic activity. *Category C* comprises investment income such as dividends, interest and capital gains. Income in category C is taxed at a flat 18 per cent rate with a tax free limit of ISK 100 000.

10.1.3 The tax schedule

- The central government personal income tax has three rates in 2010. The bottom rate of 24.10 per cent applies to personal income up to ISK 200 000 per month; the middle rate is 27.0 per cent for the next ISK 450 000 and the top rate is 33.0 per cent for incomes above ISK 650 000.
- The local government personal income tax average rate is 13.12 per cent. The tax base is the same as the central government's (categories A and B).
- The central and local government personal income tax is collected together on a monthly withheld basis. The schedule for the sum of the two rates is: 37.22 per cent, 40.12 per cent and

46.12 per cent. The personal tax credit of ISK 44 205 produces a general tax free limit of ISK 118 768 monthly.

10.2 *Treatment of family income*

In general, the tax unit is the individual. A special rule applies for taxable income in the third bracket (above ISK 7 800 000 annually), if the spouse's taxable income is below ISK 7 800 00. A part of the income above ISK 7 800 00 is then taxed in the second bracket. The part is determined by half of the amount by which the spouses income is below ISK 7 800 000, subject to a maximum of ISK 2 700 000.

Non-wage income of married couples is taxed jointly.

10.3 *Social security contribution schedule*

In 2010, employees with annual taxable income above ISK 1 425 218 pay two fixed annual fees. ISK 8 400 goes to the Construction Fund for the Elderly and ISK 17 200 goes to the Treasury, but intended to finance the National Broadcasting Service. Persons less than 16 years old and 70 years or older are exempt as well as old-age pensioners or invalids residing in old-age, nursing homes or special care establishments.

Employers pay a social security contribution on their total payroll cost to the Treasury . The rate was raised on 1 January 2010 from 7.00% to 8.65%. The proceeds go towards – but do not fully finance – the central government's costs of old age, disability, health care and childbirth leave, the remainder of the cost coming from general tax revenue.

Pension funds: Employees aged 16-70 years must be members of a pension fund and contribute 4 per cent of their wages, generally deducted on a withholding basis. The employer counter-contributes at least another 8 per cent, although most wage agreements currently stipulate a higher counter-contribution. Both contributions are deductible from income before tax.

In addition, employees can contribute up to 6 per cent of their income to a pension fund on an optional basis and this contribution is also tax-exempt. If an employee chooses to take this option the employer will match the employee's contribution by 2-4 per cent of the employee's wages.

11. *Part-time work*

11.1 *Special benefit rules for part-time work*

Unemployment benefits are paid proportional to the time spent in paid employment. (See section on unemployment benefits.)

11.2 *Special tax and social security contribution rules for part-time work*

None.

12. Policy developments

12.1 Policy changes introduced: 2nd July 2009 – 1st July 2010

Numerous fiscal policy changes have been enacted since 2009, as part of the Icelandic government's fiscal consolidation programme with the IMF. Changes to the tax system have mainly been aimed at improving revenues and the redistribution effects. Changes to benefit systems are intended to direct benefits more efficiently to lower-income households.

The personal income tax was reformed in 2010 into a triple-rate system, after a temporary surtax rate had been effective in the second half of 2009. The general 24.1 per cent rate of 2009 became the bottom rate of the new system in 2010, and the additional brackets are 2.9 and 8.9 percentage points higher. See section 10.1.3. The municipal income tax was raised on average from 13.10 per cent to 13.12 per cent. The personal tax credit in 2010 was raised from ISK 506 466 to 530 466 annually at the same time, leading to an increase in the annual tax exemption limit from ISK 1 361 468 to 1 425 218.

Interest rebate amounts were raised in 2010 (paid out 2011), and means-testing was increased. See section 5.2.1.

Family benefit amounts were unchanged between 2009 and 2010 (paid out 2011) but means-testing was increased. See section 6.2.1.

The capital income tax was raised from 10 per cent with a 5 per cent surtax, to a general 18 per cent rate with no surtax.

The social security contribution paid by employers to the Treasury was raised by 1.65 per cent, from 7.00 per cent to 8.65 per cent of total payroll cost.

A net wealth tax was adopted in 2010. Net wealth is taxed at 1.25 per cent with a tax free limit of ISK 90 million for individuals and ISK 120 million for couples.

Savings in the voluntary, supplementary pension scheme were opened temporarily for withdrawal in 2009, in order to support the liquidity position of households and to raise income tax revenues for central and local governments. An individual may withdraw a maximum total amount of ISK 2.5 million in 2009-2010. No special tax treatment applies.

12.2 Future policy changes announced since 1st July 2009

In late 2010, a number of policy changes for 2011 were introduced, mainly intended to raise additional revenue for the government. The main changes to direct taxation of individuals are:

Upon the transfer of services to disabled persons from the central to the local government level in 2011, the personal income tax rate of the central government will be lowered by 1.2 percentage points and the rate for the local governments increased equally. No change will thus be felt by the taxpayer.

The capital income tax will be raised from 18 per cent to 20 per cent.

In addition to the ordinary mortgage interest rebate a temporary rebate will be paid out in 2011. The addition amounts to 0.6% of debt due to a purchase of a home. The maximum value of the rebate is ISK 200 000 for a single individual and ISK 300 000 for a single parent and a couple. The amount is reduced proportionally for net worth above ISK 10 million for a single person and ISK 15 million for a single

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parent and a couple. The upper threshold is ISK 20 million for a single individual and ISK 30 million for a single parent and a couple.

Net wealth tax will be raised from 1.25 per cent to 1.5 per cent, with a lowering of the tax free limit to ISK 75 million for individuals and ISK 100 million for couples.

Inheritance tax will be raised from 5 per cent to 10 per cent, with an increase in the tax free limit from ISK 1 million to 1.5 million.

A new phase of the special provision to withdraw voluntary, supplementary pension fund assets will be introduced, with a raised maximum to ISK 5 million per individual.